Research Briefing | Spain

"Lower for longer" can't mask fiscal troubles

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- **The sharp decline in interest rates across Europe is providing highly indebted countries with welcome fiscal breathing space. For Spain, though, the ECB's "lower for longer" monetary policy cannot compensate for a deteriorating fiscal outlook.**
- **With Spain being one of the most indebted countries in the eurozone (public debt over €1 trillion, or 97% of GDP), its fiscal outlook is a frequent object of investor scrutiny. However, we still see its public finances as sustainable and expect public debt to fall gradually to 89% of GDP by the end of 2025.**
- **Spain has restructured a large part of its debt at low rates and even if interest rates rise, the average cost of debt servicing will continue to fall over the next few years. We estimate this will provide average savings of €5bn per year between 2020 and 2025 compared to our forecasts from last year.**
- **But Spain continues to suffer from a persistent fiscal deficit that's structural in nature, primarily coming from a gap in the social security balance of around 1.5% of GDP per year. This permanent fiscal gap accounts for our worsened deficit forecasts. And considering Spain's political paralysis, we think it unlikely that any reforms that could fundamentally address the issue will be passed.**
- **So, even though we still expect debt to fall gradually, the chronic structural deficit means Spain's debt profile has actually worsened from a year ago.**
- **The deterioration in our debt projection is also driven by a faster-than-expected economic slowdown. As we warned last year, a substantial lowering in the growth outlook – causing the fiscal deficit to rise above our expectations – remains the biggest threat to Spain's fiscal profile.**

Table 1: Spain's worsened growth and fiscal deficit outlook will lead to a smaller reduction in debt than previously expected

Fiscal outlook assumptions (2019-2025)		
	November 2018 Baseline	November 2019 Baseline
Real GDP growth (annual avg)	1.6	1.4
GDP deflator (annual avg)	1.8	1.7
Fiscal balance (% of GDP)	-1.2	-1.5
Primary fiscal balance (% of GDP)	1.2	0.7
Nominal GDP growth (annual avg)	3.4	3.0
10-year bond yield (2019-2025 avg)	3.3	1.9
Average interest paid on debt (2019-2025 avg)	2.2	1.8
Public debt (Q4 2025, % of GDP)	84.3	89.0

Source: Oxford Economics

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"Lower for longer" provides a welcome bit of fiscal space to highly indebted countries

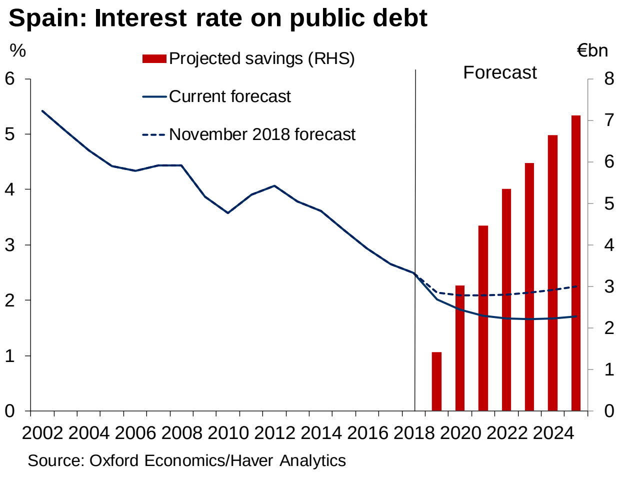
"Lower for longer" provides fiscal room, but it's not enough

The era of low interest rates is here to stay. A year ago, the overwhelming consensus was that rates in the eurozone would be rising this year, as the ECB was ending its quantitative easing programme and preparing for a normalisation of monetary policy. But a sharp deterioration in the economic outlook and a collapse in inflation expectations mean "lower for longer" now dominates the monetary policy outlook on the continent. **Among the many consequences of the ECB's ultra-loose monetary policy, one of the most significant is the impact it has on public finances, especially in countries with large public debt.**

Spain is one of the most indebted countries in the eurozone, with public debt exceeding €1 trillion, or 97% of GDP. **And due to its status as the currency bloc's fourth-largest economy, international investors closely monitor the country's fiscal outlook. As such, Spain is one of the main beneficiaries of the ECB's strategy.**

According to our calculations, which take into account our latest projections for interest rates, the average cost of servicing Spain's stock of public debt between now and 2025 will fall to 1.8%, down from the 2.2% we expected a year ago (**Table 1**). This will lead to average savings of €5bn per year (**Chart 1**), which is roughly equivalent to 0.5% of GDP.

Chart 1: Spain's debt servicing costs are falling leading to billions in annual savings



The sharp decline in interest rates and the expectation that they will remain low for an extended period means the average cost of debt has fallen by nearly half a point compared to our forecasts from a year ago. This represent billions of euros of savings in interest payments each year.

Lower interest payments can't compensate for a structural fiscal deficit

Under unchanged circumstances, this sizeable reduction in interest payments should have led to a notable improvement of our fiscal forecasts. **But in fact, the opposite has happened, and our debt projections have worsened compared with our forecasts from a year ago.** While we still consider Spain's public finances are sustainable and we see debt falling gradually to 89% of GDP by the end of 2025, this is higher than our previous projection of 84% of GDP.

The reason for this is simple and primarily reflects the fact that Spain continues to struggle to rein in its fiscal deficit. The savings obtained through lower debt servicing costs are simply not enough to offset a persistent fiscal gap that's structural in nature, stemming primarily from a permanent imbalance in the country's social security system. Even though our previous projections already incorporated our view of a permanent fiscal deficit of above 1% per year, in view of Spain's recent fiscal performance we have incorporated a larger fiscal gap in our baseline assumptions over the next 10 years.

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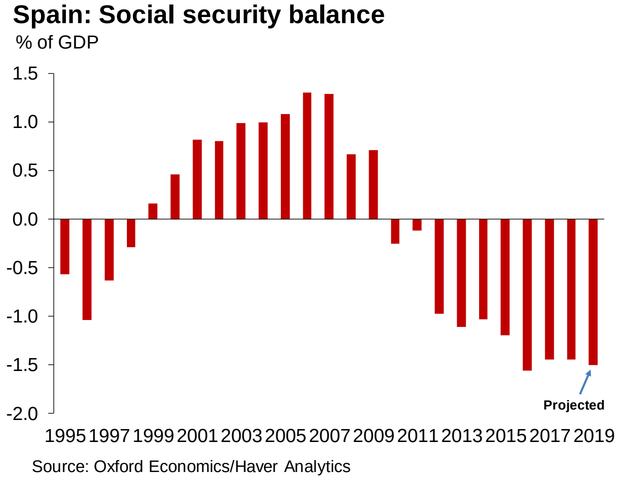
The social security system has been suffering from a persistent deficit of around 1.5% of GDP in recent years (Chart 2). This has taken place even though Spain has enjoyed a cycle of strong economic expansion since 2014, with GDP and employment annual growth rates exceeding 3% during most of this period.

Chart 2: Strong growth hasn't eased the social security deficit



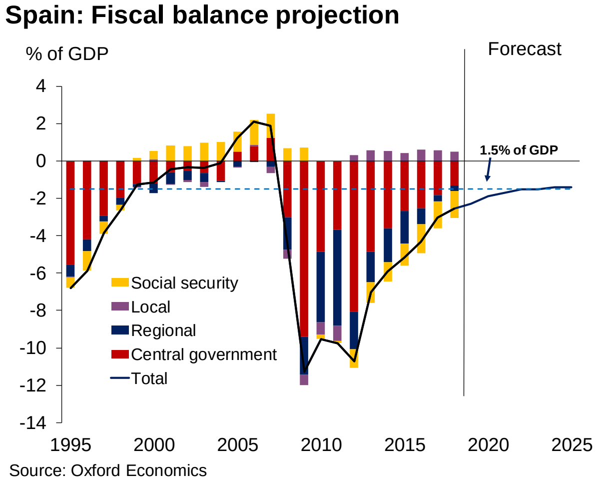
The social security system has been in the red in the past decade despite enjoying a period of strong economic growth since 2014.

Social security's structural funding gap means persistent fiscal deficits

Several reasons account for this. Even though employment growth has been strong, the poor quality of the jobs created, and the prevalence of low-pay positions mean social security contributions haven't grown as much as expected. Persistent low inflation has also deflated contributions in nominal terms, leading to a sustained undershoot compared to optimistic budget plans. On the expenditure side, a quickly aging population and a constant increase in the average monthly pension are leading to a sharp rise in pension disbursements, which are climbing around 5% a year. The recent undoing of the pension reforms of 2011 and 2013, which aimed at guaranteeing the system's long-term sustainability, is adding additional pressure on the programme, as politicians caved in to the demands of this powerful part of their electoral base.

Spain's fiscal watchdog, Airef, considers that in the absence of reforms, the social security deficit will remain broadly constant over the next few years. With Spain still stuck in a political gridlock after holding its fourth national election in four years and with political fragmentation and extreme confrontation dominating the country's politics, we remain highly sceptical that Spain can reach the consensus needed to undertake reforms to address this funding gap. We therefore share Airef's view, leading to our medium-term fiscal deficit forecast of 1.5% of GDP (**Chart 3**).

Chart 3: Spain faces an extended period of fiscal imbalance



Even assuming a balanced budget in all other areas, the structural deficit in the social security system means Spain will still suffer an annual deficit of 1.5% of GDP to 2025.

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The growth outlook, not just the fiscal deficit, continues to dominate debt profile risks

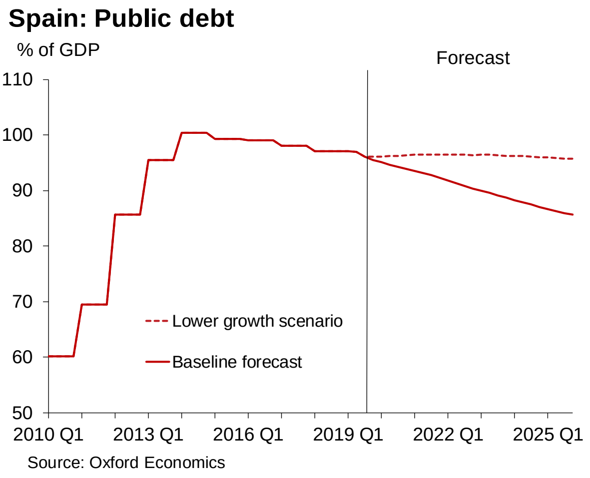
This also reflects a broader deterioration in the economic outlook. Recently revised national accounts show that the Spanish economy is cooling down faster than previously expected. This has led us to cut our growth projections over the coming years (**Table 1**).

The importance of the growth outlook in determining debt sustainability cannot be overstated. As we already showed in a similar exercise last year, the biggest risk to our growth outlook doesn't come from a sharper rise in interest rates than we currently envisage, but from a deterioration in the economic outlook, which would cause a sustained deviation from our fiscal balance projections. Spain has locked in favourable interest rates for a prolonged period, shielding itself from a potential rise in rates. Even assuming sustained rate increases over the coming decade, the average interest Spain will pay for its debt would remain broadly stable given that extending the average maturity of the debt portfolio means rising interest rates translate only very slowly into higher average interest payments.

But a sharp economic slowdown would hit the debt profile through multiple channels. It would cause a deterioration in the fiscal balance, automatically increasing the level of debt. But also compounding the impact would be a denominator effect, as a lower level of GDP would automatically raise debt ratios. Finally, an increase in debt of this magnitude would likely prompt investors to demand a higher yield newly issued debt, further worsening the country's fiscal position.

We can demonstrate this by simulating an alternative scenario using our Global Economic Model, which shows the impact of growth being lower than what we currently envisage in our forecast. **Even a relatively mild slowdown compared to baseline has a significant impact on debt projections.** A fall in nominal growth from the current projected 3% annual rate to 2% over the next few years is enough to cause a substantial deterioration in the debt profile. The public debt ratio would remain virtually unchanged from current levels by the end of 2025 (**Chart 4**), as both deficit and debt levels are affected through the multiple channels outlined above.

Chart 4: Even a relatively mild shock to growth would raise the level of public debt substantially



A sharper economic slowdown than what we currently envisage in our baseline forecast would cause a substantial deterioration in the fiscal outlook, with public debt remaining unchanged at current levels over the next few years.

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